

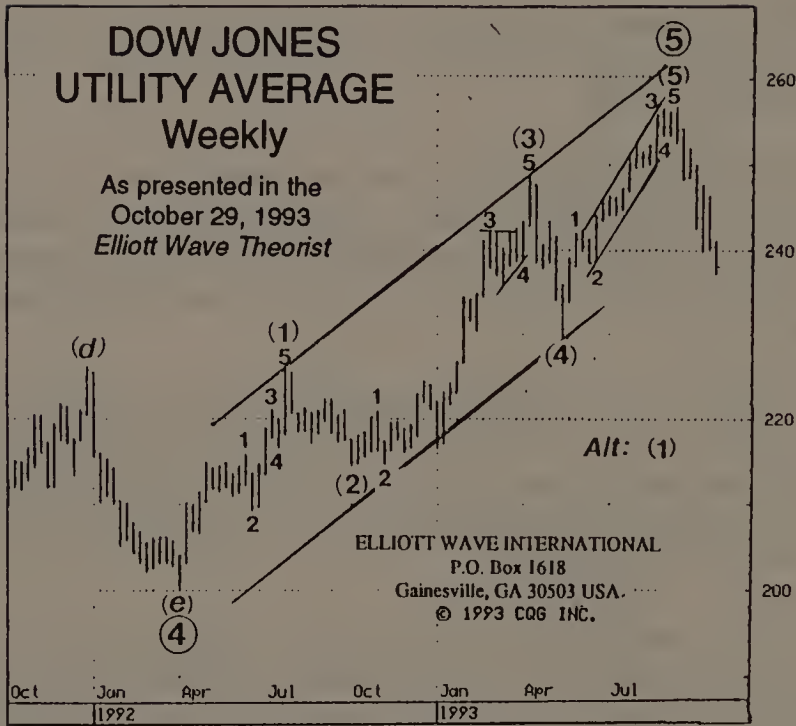


Figure 7-4

the highest quality, longest term debt instruments of 21% over the same span (see Chapter 16).

ANALYSIS

The 1993 high at 256.46 ended a five wave advance of Supercycle degree from the 1942 low of 10.58. As illustrated in Figure 7-5, wave V had traveled 342.7%, just one point past a Fibonacci .236 of the 1443.67% gain of waves I through III. Within wave V, the key lengths would have been in perfect arithmetic Fibonacci relationship had wave ⑤ traveled just another 4.5 points, as noted in the box in Figure 7-6. Not only would a high of 261 have made waves ⑤ and ① of equal length, a normal relationship, but both of them would have been .618 of the gross travel of wave ⑤ (from the low of wave ④), and that length would have been .618 of the net travel of waves ③ through ⑤. In summary, at 261, $① = ⑤ = .618 \times \text{gross } ⑤ = .382 \times ③-⑤$. In falling short by that small amount, though, the DJUA not only met its upper channel line perfectly on arithmetic scale (see Figure 7-6), but also created the aforementioned perfect percentage relationship at Supercycle degree.